

Nepali Language Publication Corporation Act, 1964

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NEPALI LANGUAGE PUBLICATION CORPORATION ACT, 2021

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Amending Acts

1. Judicial Administration Reform Act, 2031 2031.4.18
2. Judicial Administration Act, 2048 2048.2.16
3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.1.7
4. Some Nepal Acts Amendment Act, 2072 2072.11.13

Act No. 21 of the year 2021

An Act Made to Establish and Manage the Nepali Language Publication Corporation

Preamble: Whereas, for the purpose of maintaining convenience for the general public and students by making the publication and distribution of textbooks, literary books, and miscellaneous books more accessible and convenient by removing the operation and administration of the Nepali Language Publication Committee from the control of the Government of Nepal and involving the general public removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. as much as possible, and by raising the standard of its publication to make it more contemporary, more popular, and effective, it is desirable to form and manage it as a Corporation. Now, therefore, His Majesty King Mahendra Bir Bikram Shah Deva has enacted this Act on the advice and with the consent of the National Panchayat. Chapter - 1

Preliminary

1. Short title, extent, and commencement: (1) This Act may be called the "Nepali Language Publication Corporation Act, 2021".

(2) This Act shall apply throughout Nepal removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(3) This section shall come into force immediately, and the other sections shall come into force on the date appointed by the Government of Nepal by notification published in the Nepal Gazette. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Corporation" means the Nepali Language Publication Corporation established under this Act.

(b) "Committee" means the Board of Directors of the Corporation.

(c) "Managing Director" means the current Managing Director of the Corporation, and this term shall also include any person acting on his behalf.

(d) "Book" means government and non-government publications, books, booklets, posters, charts, calendars,

and textbooks and reading materials useful for schools, colleges, and the general public.

(e) "Shareholder" means a person taking shares distributed according to the rules made under this Act.

(f) "Foreign Agency" means any foreign government or agency of a foreign government or any international organization or foreign institution.

(g) "Director" means a current Director of the Corporation.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act. Chapter - 2

Establishment, Capital, and Management

3. Establishment of the Corporation: (1) A Corporation shall be established by the name of the Nepali Language Publication Corporation.

(2) The Corporation shall be a self-governing and organized body with perpetual succession.

It shall have a separate seal for all its work. It may, subject to this Act and the prevailing Nepal Law, acquire, hold, and transfer movable and immovable property. It may sue and be sued in its own name. (3) The head office of the Corporation shall be in Kathmandu, and it shall be lawful for the Corporation to appoint agents and establish sales centers within Nepal removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and abroad. 4. Capital, Shares, and Shareholders: (1) The initial authorized capital of the Corporation shall be ten lakh rupees. That amount shall be divided into a total of one lakh shares of ten rupees each. With the approval of the Government of Nepal, the initial authorized capital of the Corporation may be increased or decreased. (2) The Government of Nepal may take up to sixty percent of the share capital issued by the Corporation, and the remaining shares shall be offered for sale to the general public and cooperative or other institutions. (3) Each share shall be indivisible. (4) Generally, other than cooperative institutions, any other person or organized institution may be restricted from being given shares exceeding 500 in number. (5) The liability of a shareholder of the Corporation shall be limited. 5. Disqualification for being a Shareholder: Except for a citizen of Nepal, or a company or cooperative institution registered under Nepal Law, or a corporation or organized institution established under a Nepal Act, no other person shall be allowed to purchase shares or become a shareholder of the Corporation without the approval of the Government of Nepal. 6. Power to take Grants and Loans: After the provision of a General Meeting is made, with the approval of that meeting, and until such provision is made, with the approval of the Government of Nepal, the Corporation may take necessary cash or in-kind loans or accept grants to increase its working capital. Provided, however, that even after the provision of a General Meeting is made, the Corporation shall not take loans or accept grants from any foreign agency without the approval of the Government of Nepal. 7. Management: Unless otherwise provided in this Act or the rules and regulations made under this Act, the Committee shall oversee, direct, and manage all affairs of the Corporation.

Provided, however, that the Committee may delegate the performance and exercise of such of its duties and powers mentioned in this Act or the rules or regulations made under this Act, as it may deem necessary and appropriate, to the Managing Director or a sub-committee of one or more Directors or other officers of the Corporation. 8. Formation of the Committee and Procedure of Directors: (1) The Board of Directors shall consist of nine Directors, of which five Directors shall be nominated by the Government of Nepal, and the remaining four Directors shall be elected by the General Meeting of Shareholders. (2) Until a provision for election by the General Meeting is made, the remaining four Directors shall also be nominated by the Government of Nepal. (3) The Government of Nepal shall appoint one of the Directors to the post of

Chairman of the Committee. (4) Directors nominated under sub-section (1) shall, unless earlier removed by the Government of Nepal, generally remain in their posts for the period specified in their letter of appointment. (5) The term of office of Directors nominated under sub-section (2) shall be at the pleasure of the Government of Nepal. Provided, however,- (a) Upon the election of Directors by the General Meeting and their assumption of office, those nominated Directors shall automatically be removed. (b) Nothing in this sub-section shall preclude a person so removed from being elected as a Director. (6) The term of office of elected Directors shall be three years. After the expiry of the term, such person may be re-elected as a Director. 9. Disqualification for being a Director: The following persons shall not be eligible to be a Director:- (a) Any salaried officer of the Corporation, or (b) A person who has been adjudicated insolvent, or (c) A person who is insane or of unsound mind, or (d) A person who has been convicted by a court for a criminal offense involving moral turpitude and sentenced to imprisonment. (e) A person who has taken any contract or lease in connection with the affairs of the Corporation. 10.

Provision for removal of Directors: In the following circumstances, nominated Directors may be removed by the Government of Nepal, and elected Directors may be removed by a majority of the Shareholders present at the General Meeting:- (a) If they incur any disqualification mentioned in section 9, or (b) If they are absent from meetings of the Committee more than three consecutive times without the permission of the Committee and such absence appears unreasonable in the opinion of the Government of Nepal in the case of a nominated Director, and in the opinion of the General Meeting in the case of an elected Director, or (c) If they are proven to be interested in any contract or engagement with the Corporation in violation of section 16. 11. Resignation of Director and Filling of Vacancy: (1) Any nominated Director may resign from his office by giving written notice to the Government of Nepal, and an elected Director may resign by giving written notice to the Committee. Upon acceptance of the resignation, he shall be deemed to have vacated his office. (2) If the office of any nominated or elected Director becomes vacant by death, resignation, or any other cause, the vacancy shall be filled by another nomination or election, as the case may be, and the Director coming through election shall hold office only for the remaining period of his predecessor. (3) No act or proceeding of the Committee shall be invalid merely by reason of any defect in the formation of the Committee or any vacancy in the office of a Director. 12. Remuneration of Directors: The remuneration of Directors shall be as prescribed. 13. Meetings of the Committee: (1) Meetings of the Committee shall be held at the prescribed time and place, and the procedure for meetings of the Committee shall be as prescribed. In the absence of the Chairman, the Directors shall elect one of themselves to chair the meeting of the Committee. (2) If more than half of the total number of members currently holding office in the Committee are present at a meeting, the quorum shall be deemed to be constituted; if the quorum is not present, the meeting shall be adjourned. (3) All matters shall be decided by a majority of the Directors present and voting at a meeting of the Committee. The Director presiding shall not, ordinarily, have a casting vote, but in the case of an equality of votes, he shall have a casting vote. 14. Appointment of Managing Director, Advisors, and other Employees: For the efficient conduct of its functions, the Committee may appoint a Managing Director and as many Advisors and employees as necessary.

Their appointment, terms of service, and remuneration shall be as prescribed in the regulations. Provided, however, that the first Managing Director of the Corporation shall be appointed by the Government of Nepal, and his duties, powers, and other terms of service shall also be determined by the Government of Nepal. The remuneration and other facilities he receives according to those terms shall be paid from the fund of the Corporation as determined by the Government of Nepal. 15. Action against the Managing Director and other Employees: (1) If it appears that the Managing Director or any other employee has abused the powers vested in them by this Act or rules or regulations made under this Act, or has exercised powers beyond those, or has

misappropriated the property or fund of the Corporation, the Government of Nepal may suspend the Managing Director, and the Committee may suspend other employees. (2) An inquiry may be ordered into the conduct of the Managing Director suspended under sub-section (1) by a Judge of the High Court appointed by the Government of Nepal or a person qualified to be such Judge, and in the case of other employees, by a person deemed appropriate by the Committee. (3) For the purpose of this section, the Judge or person appointed to conduct an inquiry under sub-section (2) shall have all the powers of a District Court in respect of summoning for statement, requiring the production of documents, and examining witnesses and evidence. (4) Upon consideration of the report of such inquiry, the Government of Nepal, in the case of the Managing Director, and the Committee, in the case of other employees, may order any kind of punishment prescribed in the rules or regulations. (5) If dissatisfied with such order, the Managing Director may appeal to the Supreme Court, and other employees may appeal to the Government of Nepal, in accordance with prevailing law. The order or decision on such appeal shall be final. (6) A person suspended under sub-section (1) shall not receive any remuneration for the period of such suspension. Provided, however, that if the allegation is not proven and he is acquitted, the suspended person shall receive full remuneration for the period of suspension. 16. Prohibition on Directors and the Managing Director of the Corporation: No Director or Managing Director of the Corporation shall be interested in any contract or engagement with the Corporation.

Such notice shall be recorded in the minute book, and the interested Director shall not take part in any deliberation or decision of the Committee regarding such contract or engagement. Chapter - 3

Functions and Duties of the Corporation

17. Functions and Duties of the Corporation: It shall be the primary duty of the Corporation to keep itself free from the influence of any particular political or economic party or doctrine and to publish textbooks and other books useful for schools, colleges, and the general public, and to operate and manage it as a high-quality publishing institution.

(2) Without causing any kind of hindrance to the duty mentioned in sub-section (1), the Corporation may also publish other useful maps, calendars, etc., having regard to public interest.

(3) Without adversely affecting the generality of the powers and duties under sub-section (1), the Corporation may, in particular, do or exercise the following acts or powers:-

(a) To do all kinds of work such as arranging for writing, translating, printing, publishing, distributing, advertising, and operating books, etc.,

(b) To provide education and training to persons inside or outside the Corporation in matters pertaining to the Corporation's work,

(c) To determine new editions, formats, blocks, prices, etc., of books,

(d) To purchase and procure printing presses and other necessary equipment and materials for implementing the matters mentioned in clause (c),

(e) To take necessary steps to improve the standard of publication,

(f) To make provision for paying appropriate royalty per edition to the authors of books commissioned by it,

(g) To acquire, hold, and transfer movable and immovable property for carrying out its functions,

(h) To enter into and execute all contracts necessary for the exercise of its powers and the performance of its duties,

- (i) To print, sell, distribute, and publicize books given for publication by any person, institution, or government or semi-government body,
- (j) To borrow from others by mortgaging the property of the Corporation,
- (k) To lease, sell, or otherwise dispose of the property of the Corporation,
- (l) To distribute dividends on the shares of the Corporation,
- (m) To advertise its publications,
- (n) To open sales centers or grant agencies in various places within Nepal removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and abroad for the sale and distribution of its own publications and those it has published,
- (o) To invest its money in securities if permitted by the Government of Nepal, and
- (p) To do all such other acts and things as may be necessary and incidental to the performance of its duties and the exercise of its powers under this Act and the fulfillment of the objectives of this Act. 18.

Prior Approval of the Government of Nepal Required: The Corporation shall not do the following acts without the prior approval of the Government of Nepal:- (a) Make capital expenditure for the purchase or acquisition of any immovable property exceeding one lakh rupees, or (b) Take or give any immovable property as mortgage for a period exceeding five years, or (c) Sell, transfer, or assign any property, right, or facility worth more than fifty thousand rupees. 19. Submission of Programmes: (1) The Committee shall, at least three months before the start of its financial year, submit to the General Meeting for approval the programme of operations, details of income and expenditure for development activities, details of other works, and financial estimates including details of any additional capital investment and staffing requirements, proposed to be carried out by the Corporation and its auxiliary bodies in the forthcoming financial year. (2) If the Corporation wishes to undertake any special work in any financial year in addition to the matters already mentioned in the programme submitted under sub-section (1), and if such work is likely to bring about a substantial change in the proposed financial estimates, the Corporation shall submit a supplementary programme for such work and a supplementary estimate of the expenditure to be met from the remaining funds and the income to be received for that financial year to the General Meeting for approval. (3) Until the provision of a General Meeting is made, the Committee shall submit the estimates under sub-sections (1) and (2) to the Government of Nepal. Chapter - 4 General Meeting 20. General Meeting: (1) After shares representing at least 5 percent of the value of the share capital issued for sale by the Corporation in the General Meeting have been sold to the general public, a General Meeting (hereinafter referred to as the Annual General Meeting) shall be held at the head office of the Corporation within two months from the date of the closing of the annual accounts of the Corporation each year. A special General Meeting of the Corporation shall be held at any other time upon a written application signed by at least five percent of the shareholders or if the Committee deems it necessary. (2) The quorum for a General Meeting shall not be considered complete unless at least one-third of the shareholders are present in person or by proxy. If such quorum is not present, the meeting when called a second time, if six shareholders are present, the quorum shall be deemed complete.

Provided, however, if the quorum cannot be met as above even on the second occasion, the matter shall be submitted to the Government of Nepal and acted upon as directed. (3) At the Annual General Meeting, the shareholders present shall discuss the annual accounts and the profit and loss account of the Corporation, the auditor's report thereon, and the report of the Committee on the work of the Corporation for the year. Until

the provision of an Annual General Meeting is made, these matters shall be submitted to the Government of Nepal. (4) Every person whose name is registered as a shareholder of the Corporation shall have one vote. Shareholders shall not be allowed to vote at a meeting of the General Meeting without being present in person or sending a proxy. (5) Decisions of the meeting shall be made by a simple majority of the shareholders present and voting. 21. Power of the Government of Nepal to give Decisions and Directions: (1) If any difference of opinion arises between the General Meeting and the Board of Directors regarding the operation of the Corporation, such matter shall be submitted to the Government of Nepal for decision, and the decision given by the Government of Nepal shall be final. (2) If the Government of Nepal deems it appropriate in the national interest, it may give directions to the Corporation regarding the following matters, and it shall be the duty of the Corporation to comply with such directions:- (a) To operate a specified service or carry out other activities in a particular area, or (b) To cease or modify any work being done by the Corporation in a particular area or entirely, or (c) Not to do any work the Corporation intends to undertake. 22. Power of the Government of Nepal to cause an Inquiry into the Affairs of the Corporation: (1) The Government of Nepal may, by notification published in the Nepal Gazette, appoint an Inspector to inquire into the affairs of the Corporation. (2) The Inspector appointed under sub-section (1) shall have the power to examine all accounts, books, and documents in the possession of the Corporation. (3) The Inspector appointed under this section shall submit his report to the Government of Nepal. Chapter-5 Fund, Accounts, and Audit 23. Fund of the Corporation: (1) The Corporation shall have its own separate Fund.

All sums received by the Corporation, including loans and grants, shall be deposited in that Fund, and all sums payable by the Corporation shall be defrayed from that same Fund. (2) All sums of the Fund shall be deposited in the Nepal Rastra Bank or, with the permission of the Government of Nepal, in other banks. (3) The Committee shall have the authority to expend such sums as may be appropriate for authorized activities in accordance with this Act and the rules and regulations made under this Act. 24. Assumption of Liabilities: The Corporation shall be deemed to have assumed, or to have been made or done for or with it, all such liabilities and contracts made by or with the Government of Nepal in relation to the matters mentioned in this Act prior to the establishment of the Corporation, as the Government of Nepal may segregate for the Corporation. 25. Method of Keeping Accounts: All accounts of the income and expenditure of the Corporation shall be kept in the format and manner approved by the Government of Nepal. 26. Distribution of Profits: The distribution and utilization of the profits made by the Corporation shall be as prescribed. 27. Audit: (1) The audit of the Corporation shall be conducted by two Auditors, one appointed by the Government of Nepal and one chosen by the meeting of Shareholders. The Auditors to be chosen by the Shareholders shall be chosen at the Annual General Meeting, and the remuneration of the Auditors shall also be determined at that meeting. Provided, however, that until the provision of a General Meeting is made, the audit of the Corporation shall be conducted by one Auditor appointed by the Government of Nepal. (2) If the office of the Auditor chosen by the Shareholders becomes vacant for any reason, the Government of Nepal may fill such vacancy until the next General Meeting. (3) It shall be the duty of the Auditors to audit the annual accounts and profit and loss account of the Corporation and related vouchers. The Auditors shall be given the statement of all accounts of the Corporation. They may, at any reasonable time, inspect and examine any account books and documents in the possession of any officer or other employee at any place of the Corporation. (4) The Auditors shall submit one copy of their report on the annual accounts and profit and loss account to the Government of Nepal and, after the provision of a General Meeting is made, another copy to such meeting.

Such report shall clearly state the following matters:-

- (a) Whether the annual accounts and profit and loss account have been properly prepared, clearly disclosing all necessary matters showing the true financial position of the Corporation or not.
 - (b) Whether the Corporation has provided any explanation or information requested by the auditor and, if so, whether it is satisfactory or not.
 - (c) Whether the annual accounts and profit and loss account presented are in proper form or not.
- (5) The Auditors may submit such proposals as they deem appropriate for the proper management of the Corporation. The Committee shall include the proposals so submitted in the agenda of the General Meeting.
- (6) The Government of Nepal may, at any time, direct the Auditors to submit a report to it disclosing whether the steps taken by the Corporation for the adequate protection of the Shareholders and Creditors are sufficient or not, and whether the method of keeping accounts by the Corporation is correct or not.
- (7) Based on the report received under sub-section (4) or (6), the Government of Nepal may direct the Corporation to make necessary corrections or arrangements. Chapter-6

Miscellaneous

28. Secrecy and Declaration against Breach of Trust: Before assuming office, every Director, Managing Director, Auditor, Officer, and other employee of the Corporation must take an oath as set out in the Schedule. 29. Settlement of Disputes by Arbitration: (1) If any dispute arises among the Board of Directors, the Managing Director, any Officer or employee of the Corporation, regarding terms of contract or any dispute between them, such dispute shall be decided only by a Judge of the High Court appointed by the Government of Nepal, as the case may be.

(2) In relation to a dispute referred to arbitration under sub-section (1), the arbitrator shall have the same powers as a court in respect of summoning and examining witnesses and parties, and requiring the production of documents.

(3) The decision of the arbitrator shall be final and binding on all parties. Provided, however, that upon the petition of the aggrieved party, the High Court may set aside such decision and give another decision only in the following circumstances:-

(a) If it clearly appears that the arbitrator has shown improper conduct or has given a patently wrong or arbitrary decision with apparent mala fides, or

(b) If the decision of the arbitrator is plainly contrary to law. 30.

Penalties: (1) If any person knowingly makes or causes to be made a false entry or forges or causes to be forged any document of the Corporation or in the possession of the Corporation, he shall be liable to imprisonment for a term not exceeding two years or a fine not exceeding two thousand rupees, or both. (2) If any person obstructs an Inspector appointed under section 22 or an Auditor appointed under section 27 in the performance of their duties, or fails to provide, without reasonable cause, any document or information lawfully requested by such Inspector or Auditor, or is negligent in providing them, he shall be liable to a fine not exceeding one thousand rupees. (3) If any person uses the name of the Corporation in any statement or advertisement without the written consent of the Corporation, he shall be liable to imprisonment for a term not exceeding six months or a fine not exceeding one thousand rupees, or both. (4) If any person who is a current Director or Managing Director, in violation of section 16, becomes interested in a written contract with the Corporation and, without making the disclosure required by that section, takes or attempts to take any

undue advantage from that position, he shall be liable to imprisonment for a term not exceeding two years or a fine not exceeding five thousand rupees, or both. 31. Jurisdiction of Court: The amended by the Judicial Administration Act, 2048. District Court shall have jurisdiction for the initiation and adjudication of any suit or case in which the Corporation is a plaintiff or defendant, on its own behalf or on behalf of any other person, or any suit or case under this Act, or any other legal proceedings. 32. Grant in the form of Subsidy: The Government of Nepal shall grant to the Corporation, in the form of a subsidy, the books and all materials currently held by the Nepali Language Publication Committee. 33. Power of the Government of Nepal to make Rules: The Government of Nepal may make rules for the purpose of implementing the objectives of this Act, and such rules shall come into force upon publication in the Nepal Gazette. 34. Power of the Corporation to make Regulations: Subject to this Act and the rules made under this Act, the Corporation may make regulations for the proper conduct of its affairs, and such regulations shall come into force after approval by the Government of Nepal. 35.